

U.S. Beverages, Household & Personal Care Products

Estee Lauder, Procter & Gamble: Is the China turnaround durable? Part 1: Competitive landscape



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Perhaps the brightest spot in Estee Lauder's turnaround story, Mainland China has gone from declining to double-digit reported growth in just one year. The resurgence has been so pronounced that the key debate now is whether the recovery can be sustained. Given that Mainland China is now the company's fastest-growing segment, the answer has significant implications for the broader turnaround story.

In this series, we will examine whether the drivers behind the recent improvement are durable or a temporary inflection point following several years of challenges. We also explore P&G's SK-II trajectory and its recent rebound.

Today's note, the first in the series, uses Euromonitor data to assess high-level market and competitive dynamics. Through this lens, a durable turnaround would ideally be supported by three factors: a) a steadily growing market, b) consistent market share gains, and c) favorable sub-category trends.

The data paints a mixed picture, though there are reasons for optimism. Ultimately, the sustainability of EL's turnaround will depend on continued market growth (possible, but far from guaranteed) and on whether the Estee Lauder brand can continue to gain share in Skincare and Makeup, as it did in 2025. In our view, this will largely depend on whether the brand's recent success was driven by reinvestment in media and innovation, or by more transitory factors such as channel shifts and other one-off events.

One conclusion is clear: contrary to a commonly discussed narrative, the strong performance of EL in 2025 was not driven by Chinese brands broadly "imploding" or ceding share to multinational competitors (at least based on Euromonitor data). Instead, the data points to other drivers, some of which may prove more durable. This is an encouraging sign for the turnaround.

P&G's SK-II finds itself in a similar position. After years of share losses following 2021, the brand stabilized and gained share last year. The key question is whether this marks the start of a new trend, or simply a one-time bump.

To better understand the durability of these trends, the next note in this series will explore channel dynamics in China and the role they may have played in shaping these recent inflection points.

INVESTMENT IMPLICATIONS

We rate **Estee Lauder Market-Perform**, with a PT of \$82. After years of decline, EL has returned to growth, but structural challenges will prevent further acceleration. Their channel mix in the US will continue to weigh on growth prospects, as Department Stores continue their decline.

We forecast 36% and 13% YoY EPS growth NTM and NTM+1, respectively, making us bearish vs. consensus on NTM+1 EPS by ~7%. We apply a 24.0x target multiple to derive our target price.

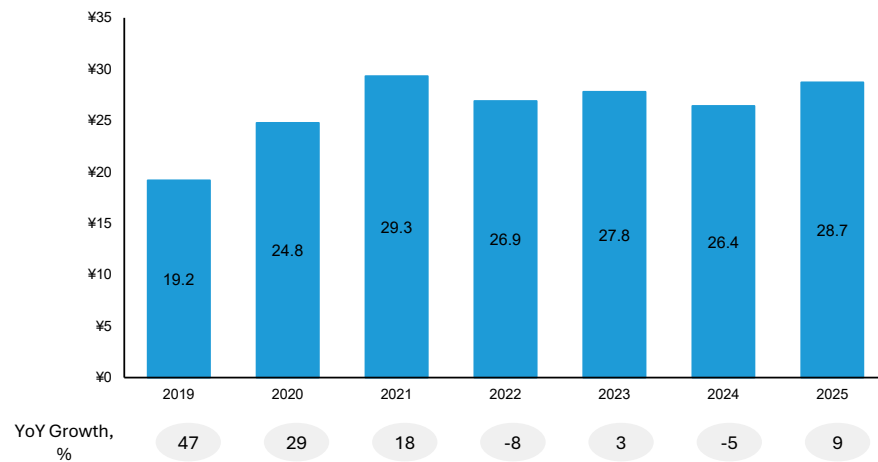
We rate **Procter & Gamble Market-Perform**, with a PT of \$156. P&G has a diversified portfolio (categories and regions) that is, by design, hard to accelerate or disrupt. Bright spots in Beauty (relative to the rest of the portfolio) will help sustain LSD organic sales growth, with potential upside from upcoming innovation in Laundry Detergents, but challenges from Private Label in more commoditized categories like Bathroom Tissue and from smaller competitors in Disposable Diapers are unlikely to go away.

We forecast 1% and 5% YoY EPS growth NTM and NTM+1, respectively, making us bearish vs. consensus on NTM+1 EPS by ~1%. We have a target multiple of 21.6x.

DETAILS

After a soft 2023 and a decline in 2024, EL grew 9% YoY in 2025 in Mainland China, according to Euromonitor. The inflection coincides with the new CEO's focus on media and innovation.

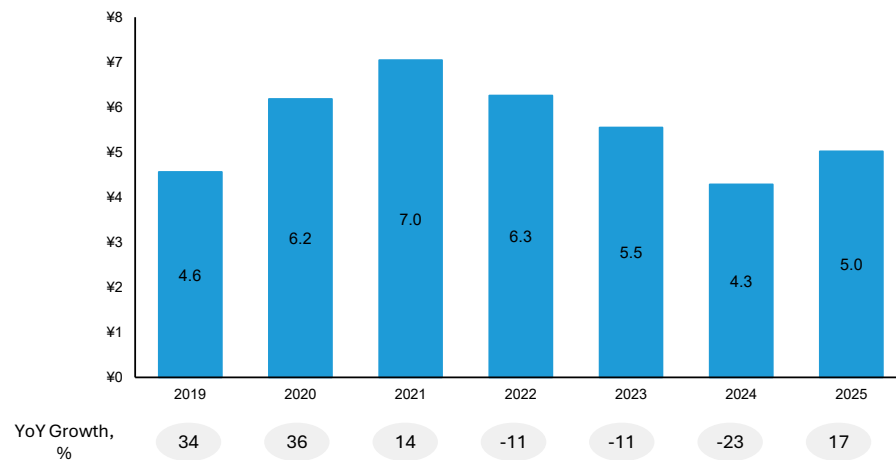
EXHIBIT 1: **EL's Portfolio in China Prestige Beauty: Sales and YoY Growth**



Source: Euromonitor, Bernstein analysis

P&G's SK-II had been on a steadier decline trend, but also rebounded in 2025.

EXHIBIT 2: **PG's SK-II in China Prestige Beauty: Sales and YoY Growth**

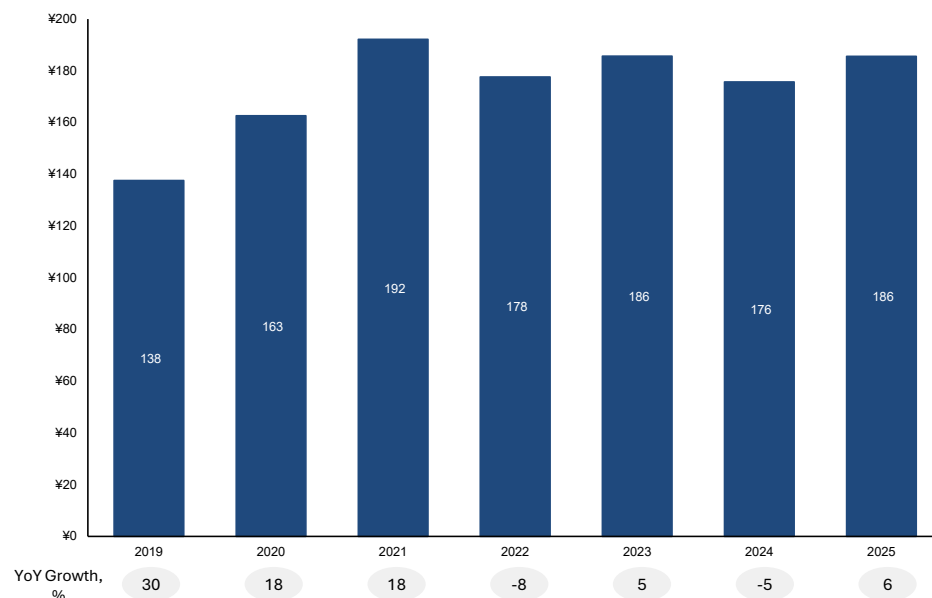


Source: Euromonitor, Bernstein analysis

The Prestige Beauty market in China rebounded in 2025, growing 6% after a decline in 2024. Both EL and PG's SK-II outpaced the market in 2025.

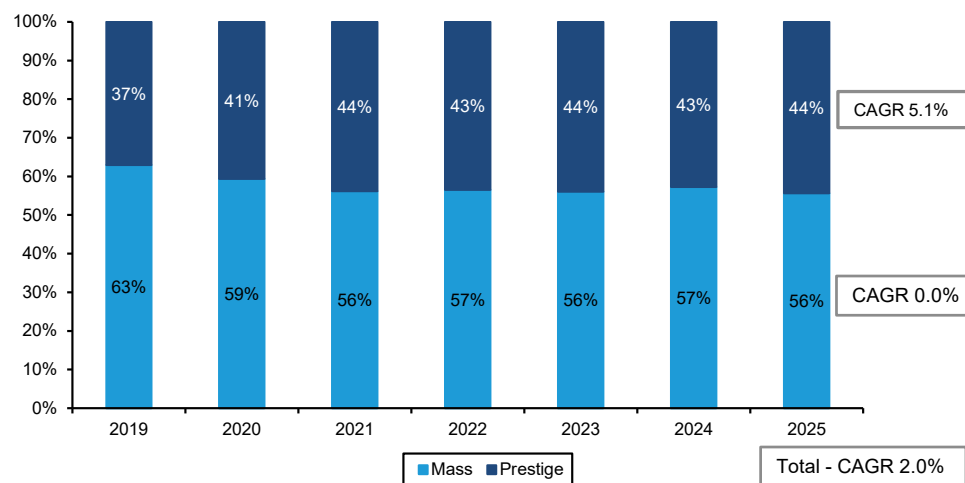
Prestige Beauty sales in China reached RMB186bn in 2025 (~US\$27bn), up from RMB138bn in 2019. While the double-digit growth rates seen before Covid have yet to fully return, Prestige Beauty has demonstrated greater resilience and a faster recovery than Mass Beauty, continuing to outpace the broader market, with its share of Total Beauty sales rising from 37% in 2019 to 44% in 2025. From 2019 to 2025, Prestige Beauty grew at a 5.1% CAGR, compared with flat growth for Mass Beauty and 2.0% growth for the overall beauty market.

That said, **growth has been lumpy and hard to predict. While the market is still below its high of 2021, pointing to some further room for recovery, the on-off nature of growth suggests that another soft year is just as likely as a strong one.**

EXHIBIT 3: Prestige Beauty Market Size and Growth Rate

Prestige beauty was defined using a brand-level classification applied to brands tracked by Euromonitor. Refer to the Appendix for the full list of brands included in this analysis.

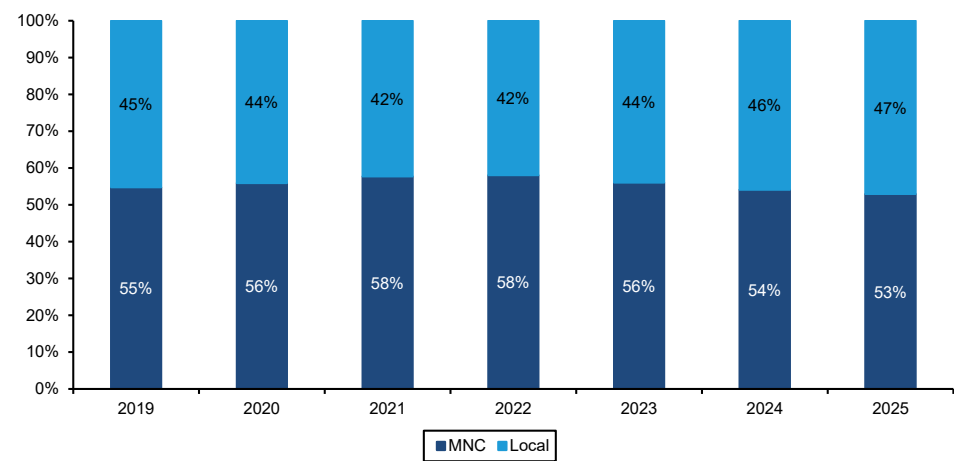
Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

EXHIBIT 4: Prestige Beauty Continues to Outpace Mass in China's Beauty Market - Total Category

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

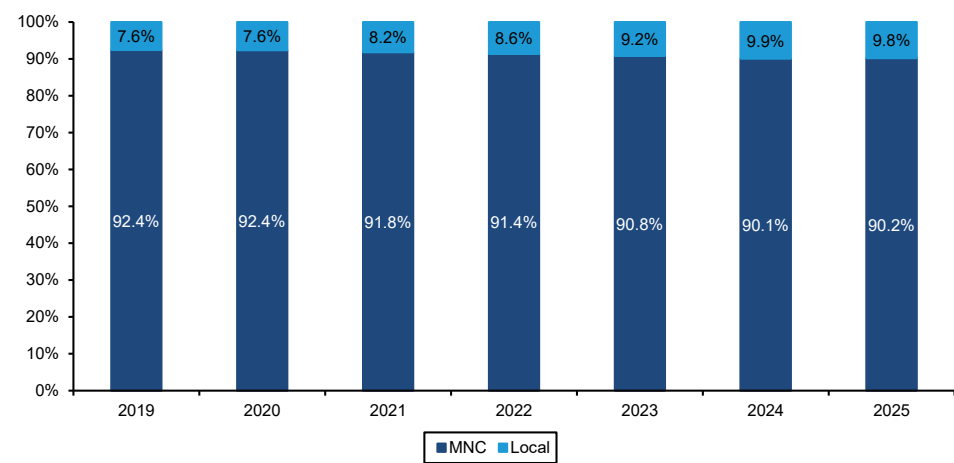
While domestic brands have emerged as meaningful competitors in China's beauty market, their influence remains limited in Prestige. Despite accounting for 47% of Total Beauty sales, local players hold less than 10% of the Prestige segment, leaving the market firmly in the hands of MNCs. Chinese Brands did not cede meaningful ground to MNCs in 2025.

EXHIBIT 5: Local Brands Continue to Gain Share from MNCs - Total Category



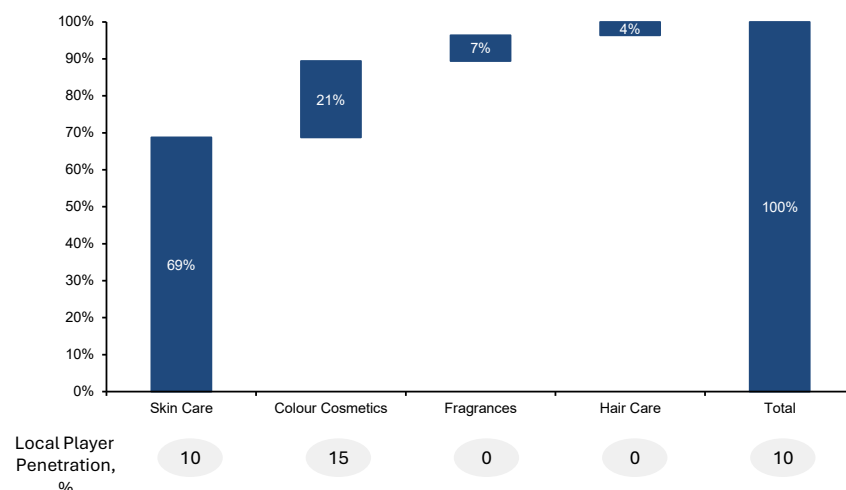
Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

EXHIBIT 6: Prestige Market Dominated by MNCs



Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

Skincare remains the largest Prestige category, accounting for 69% of Prestige Beauty sales in 2025, followed by Color Cosmetics (21%), Fragrance (7%), and Hair Care (4%). Local brand penetration is highest in Color Cosmetics at 15%, compared with approximately 10% in Skincare and minimal in Fragrance and Hair Care. This also aligns with the observation that consumers are generally more willing to experiment with new lipstick shades and Makeup brands driven by trends, while demonstrating higher levels of loyalty in Skincare.

EXHIBIT 7: **Prestige Market Breakdown by Category and Local Player Penetration**

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

At the total market level, Estée Lauder's share increased from 16.9% to 18.7%, although most of the improvement occurred in 2020 and then again in 2025. Not steady, durable gains that are easy to extrapolate.

Procter & Gamble (SK-II), similarly, saw share decline from 4.0% in 2019 to 3.3% in 2025, partly due to weaker consumer sentiment toward Japanese brands following the Fukushima wastewater discharge, with share rebounding in 2025.

EXHIBIT 8: **China Beauty Market Share by Manufacturer - Prestige Segment**

	2019	2020	2021	2022	2023	2024	2025
MNC Players							
L'Oréal Groupe	23.4%	24.6%	25.5%	28.3%	30.2%	31.4%	32.6%
Estée Lauder Cos Inc	16.9%	18.1%	17.9%	17.5%	17.7%	17.6%	18.7%
LVMH Moët Hennessy Louis Vuitton SA	12.2%	11.3%	11.0%	9.9%	10.0%	9.2%	8.6%
Shiseido Co Ltd	6.7%	7.0%	7.2%	7.3%	6.8%	6.8%	6.9%
Chanel SA	3.4%	3.0%	3.1%	3.1%	3.7%	3.6%	3.6%
Procter & Gamble Co, The	4.0%	4.5%	4.3%	4.1%	3.5%	2.9%	3.3%
Other MNC	25.8%	23.8%	22.8%	21.1%	18.9%	18.5%	16.5%
Total MNC Market Share	92.4%	92.4%	91.8%	91.4%	90.8%	90.1%	90.2%
Local Players							
Kunming Botanee Bio Tech Co Ltd	2.4%	2.7%	3.0%	4.1%	4.4%	4.7%	4.4%
Mao Geping Cosmetics Co Ltd	0.4%	0.5%	1.0%	1.2%	1.9%	2.7%	3.2%
Zhejiang Yige Enterprise Management Group Co Ltd	1.5%	2.2%	2.6%	2.0%	1.6%	1.2%	1.1%
Infinitus (China) Co Ltd	2.9%	1.8%	1.3%	1.1%	1.1%	1.1%	1.0%
Yue-sai (L'Oréal Groupe)	0.4%	0.3%	0.3%	0.3%	0.3%	0.2%	0.2%
Total Local Player Market Share	7.6%	7.6%	8.2%	8.6%	9.2%	9.9%	9.8%
Total Market Share	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

Skincare

EL share gains in Skincare have not been consistent either. That said, La Mer has been steadily gaining throughout the observed period, with gains every year. The main challenge has been the Estee Lauder brand, which just recently reversed its declining trend in 2025. Clinique and Origins remain stagnant.

The data shows the importance of the namesake brand and the role it has to play to drive recovery for the portfolio. The key question is, was the rebound enabled by media and innovation investments, or from a shift from Travel Retail? Hard to tell, especially given the brand's exposure to Duty Free stores. We will further explore this question in our next note in the series.

EXHIBIT 9: MNC and Local Brand Share (2019-2025) - Prestige Skin Care

	2019	2020	2021	2022	2023	2024	2025	Δ 2019 - 2025
MNC Players								
L'Oréal Groupe	22.3%	24.1%	24.6%	27.2%	29.3%	30.0%	31.4%	910 bsp
Lancôme	12.1%	13.4%	13.6%	14.6%	14.9%	15.0%	15.6%	351 bsp
La Roche-Posay	2.0%	2.0%	2.3%	2.7%	3.3%	3.7%	4.0%	206 bsp
Helena Rubinstein	0.8%	1.2%	1.5%	2.1%	3.1%	3.3%	3.3%	251 bsp
Kiehl's	2.9%	2.9%	2.8%	3.0%	2.8%	2.8%	2.6%	-32 bsp
SkinCeuticals	0.8%	1.1%	1.4%	1.7%	2.1%	2.2%	2.5%	169 bsp
Other Brands	3.7%	3.4%	3.0%	3.0%	3.0%	3.1%	3.4%	-35 bsp
Estée Lauder Cos Inc	16.7%	18.5%	18.7%	18.1%	18.3%	18.5%	19.5%	278 bsp
Estée Lauder	11.1%	12.2%	12.1%	11.5%	10.8%	10.3%	10.9%	-18 bsp
La Mer	3.7%	4.8%	5.3%	5.4%	6.5%	7.1%	7.6%	388 bsp
Clinique	0.9%	0.8%	0.6%	0.6%	0.5%	0.5%	0.5%	-42 bsp
Origins	0.9%	0.8%	0.6%	0.6%	0.5%	0.5%	0.4%	-50 bsp
Shiseido Co Ltd	7.4%	7.8%	8.0%	7.9%	7.0%	6.8%	6.8%	-60 bsp
Clé de Peau Beauté	1.9%	2.1%	2.2%	2.3%	2.5%	3.0%	3.3%	137 bsp
Shiseido	3.2%	3.6%	3.8%	3.8%	3.3%	2.9%	2.7%	-45 bsp
IPSA	1.1%	1.1%	1.1%	0.9%	0.6%	0.5%	0.4%	-64 bsp
Elixir	1.3%	1.0%	0.9%	0.8%	0.6%	0.4%	0.4%	-88 bsp
LVMH Moët Hennessy Louis Vuitton SA	7.2%	7.3%	7.4%	7.0%	6.9%	6.5%	6.3%	-81 bsp
Guerlain	2.6%	3.1%	3.2%	3.2%	3.3%	2.9%	2.7%	13 bsp
Christian Dior	2.6%	2.4%	2.5%	2.2%	2.3%	2.4%	2.4%	-18 bsp
Fresh	1.3%	1.2%	1.2%	1.0%	0.8%	0.8%	0.8%	-41 bsp
Givenchy	0.7%	0.7%	0.6%	0.5%	0.4%	0.4%	0.4%	-36 bsp
Procter & Gamble Co, The	5.8%	6.3%	6.1%	5.7%	5.1%	4.1%	4.8%	-100 bsp
SK-II	5.8%	6.3%	6.1%	5.7%	5.1%	4.1%	4.8%	-100 bsp
Clarins SA	1.9%	1.9%	2.1%	2.7%	3.0%	3.5%	3.3%	147 bsp
Clarins	1.9%	1.9%	2.1%	2.7%	3.0%	3.5%	3.3%	147 bsp
Other MNCs	30.7%	27.4%	26.4%	23.3%	21.1%	20.4%	18.1%	-1,266 bsp
Total MNCs	92.0%	93.2%	93.2%	91.8%	90.8%	89.8%	90.2%	
Local Players								
Kunming Botanee Bio Tech Co Ltd	3.3%	3.7%	4.2%	5.6%	6.2%	6.8%	6.3%	303 bsp
Winona	3.3%	3.7%	4.2%	5.6%	6.2%	6.8%	6.3%	303 bsp
Mao Geping Cosmetics Co Ltd	0.1%	0.2%	0.5%	0.7%	1.2%	1.5%	1.8%	168 bsp
MGPIN	0.1%	0.2%	0.5%	0.7%	1.2%	1.5%	1.8%	168 bsp
Infinitus (China) Co Ltd	4.1%	2.5%	1.8%	1.5%	1.5%	1.6%	1.4%	-272 bsp
Beautrio	4.1%	2.5%	1.8%	1.5%	1.5%	1.6%	1.4%	-272 bsp
L'Oréal Groupe	0.5%	0.4%	0.3%	0.4%	0.3%	0.3%	0.3%	-25 bsp
Yue-sai	0.5%	0.4%	0.3%	0.4%	0.3%	0.3%	0.3%	-25 bsp
Total Local	8.0%	6.8%	6.8%	8.2%	9.2%	10.2%	9.8%	
Total Prestige Skin Care Market	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	

Source: Euromonitor (Skin Care, China), Bernstein analysis

Color Cosmetics

In Prestige Color Cosmetics, EL's market share declined from 19.3% in 2019 to 18.8% in 2025. MAC experienced the most significant decline, with share falling from 8.2% to 5.1%. But here, too, **Estee Lauder (brand) saw share accelerate in 2025, as did Tom Ford, fueling an overall share gain in the subcategory.**

EXHIBIT 10: **MNC and Local Brand Share (2019-2025) - Prestige Colour Cosmetics**

	2019	2020	2021	2022	2023	2024	2025	Δ 2019 - 2025
MNC Players								
L'Oréal Groupe	27.8%	26.8%	26.7%	29.1%	29.7%	30.9%	30.8%	301 bsp
Yves Saint Laurent	8.1%	7.7%	8.0%	10.2%	11.8%	13.0%	14.0%	588 bsp
Lancôme	10.6%	10.2%	9.4%	9.7%	9.4%	9.7%	8.9%	-170 bsp
Giorgio Armani	6.6%	6.3%	6.3%	6.0%	5.6%	5.6%	5.0%	-163 bsp
Shu Uemura	2.4%	2.6%	3.0%	3.1%	3.0%	2.7%	2.9%	46 bsp
Estée Lauder Cos Inc	19.3%	18.7%	17.0%	17.4%	17.4%	17.4%	18.8%	-49 bsp
Estée Lauder	5.4%	5.4%	4.9%	4.6%	4.5%	4.5%	5.1%	-30 bsp
Mac	8.2%	6.8%	5.3%	4.9%	5.2%	5.0%	5.1%	-308 bsp
Bobbi Brown	2.7%	2.6%	2.5%	3.2%	3.3%	3.3%	3.6%	89 bsp
Tom Ford	1.9%	2.4%	2.6%	2.9%	2.8%	2.8%	3.3%	136 bsp
La Mer	0.7%	1.3%	1.4%	1.6%	1.5%	1.6%	1.5%	81 bsp
Clinique	0.4%	0.3%	0.2%	0.1%	0.1%	0.1%	0.2%	-16 bsp
LVMH Moët Hennessy Louis Vuitton SA	24.4%	22.3%	20.5%	18.5%	18.5%	16.1%	14.3%	-1,012 bsp
Christian Dior	13.4%	12.3%	11.2%	10.0%	9.8%	8.9%	8.3%	-502 bsp
Givenchy	5.5%	4.7%	4.1%	3.7%	3.5%	3.2%	2.9%	-261 bsp
Make Up For Ever	2.6%	2.5%	2.7%	2.6%	2.8%	2.3%	1.6%	-99 bsp
Guerlain	2.7%	2.5%	2.2%	2.0%	2.1%	1.7%	1.5%	-123 bsp
Benefit	0.3%	0.2%	0.2%	0.2%	0.3%	0.1%	0.0%	-27 bsp
Shiseido Co Ltd	6.2%	6.4%	6.9%	8.3%	9.0%	10.1%	10.6%	440 bsp
Nars	2.6%	3.1%	3.6%	4.8%	5.1%	5.9%	6.4%	377 bsp
Clé de Peau Beauté	2.7%	2.5%	2.6%	2.7%	3.4%	3.7%	3.8%	103 bsp
Shiseido	0.7%	0.7%	0.7%	0.7%	0.5%	0.4%	0.4%	-34 bsp
Maquillage	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	-6 bsp
Chanel SA	5.6%	5.1%	5.1%	5.0%	5.7%	5.9%	5.9%	27 bsp
Chanel	5.6%	5.1%	5.1%	5.0%	5.7%	5.9%	5.9%	27 bsp
Other MNCs	8.3%	8.0%	8.1%	8.0%	6.4%	5.6%	4.7%	-361 bsp
Total MNCs	91.6%	87.3%	84.3%	86.2%	86.8%	86.1%	85.1%	
Local Players								
Mao Geping Cosmetics Co Ltd	1.5%	1.8%	3.2%	3.4%	5.0%	7.6%	9.4%	789 bsp
MGPIN	1.5%	1.8%	3.2%	3.4%	5.0%	7.6%	9.4%	789 bsp
Zhejiang Yige Enterprise Management Group Co Ltd	6.3%	10.4%	12.0%	9.8%	7.7%	6.0%	5.2%	-109 bsp
Florasys	6.3%	10.4%	12.0%	9.8%	7.7%	6.0%	5.2%	-109 bsp
L'Oréal Groupe	0.4%	0.3%	0.2%	0.3%	0.2%	0.2%	0.2%	-20 bsp
Yue-sai	0.4%	0.3%	0.2%	0.3%	0.2%	0.2%	0.2%	-20 bsp
Kunming Botanee Bio Tech Co Ltd	0.2%	0.2%	0.2%	0.3%	0.3%	0.2%	0.1%	-5 bsp
Winona	0.2%	0.2%	0.2%	0.3%	0.3%	0.2%	0.1%	-5 bsp
Total Local	8.4%	12.7%	15.7%	13.8%	13.2%	13.9%	14.9%	
Total Prestige Colour Cosmetics Market	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	

Source: Euromonitor (Colour Cosmetics, China), Bernstein analysis

Fragrances

Fragrance has emerged as EL's strongest category from a share-gain perspective. EL's Prestige Fragrance share increased from 11.7% in 2019 to 19.4% in 2025. Growth was driven by Jo Malone London, Tom Ford, and Le Labo. It is easiest to extrapolate the trend here because share gains have been mostly consistent (with the exception of 2024). **Based on this data, Fragrance appears to be the clearest, most dependable driver of Estee Lauder's turnaround.**

EXHIBIT 11: **MNC and Local Brand Share (2019-2025) - Prestige Fragrances**

	2019	2020	2021	2022	2023	2024	2025	Δ 2019 - 2025
MNC Players								
L'Oréal Groupe	10.8%	12.4%	16.8%	21.2%	21.8%	23.9%	27.0%	1,625 bsp
Yves Saint Laurent	4.1%	5.7%	8.3%	10.7%	11.2%	11.2%	12.6%	851 bsp
Maison Margiela	0.0%	0.0%	1.2%	2.3%	2.8%	3.6%	4.5%	448 bsp
Giorgio Armani Code for Women	5.4%	5.5%	5.1%	4.9%	4.7%	4.5%	4.0%	-136 bsp
Prada	0.0%	0.0%	1.3%	1.6%	1.7%	2.2%	2.9%	292 bsp
Aesop	0.0%	0.0%	0.0%	0.0%	0.0%	0.9%	1.2%	123 bsp
Other Brands	1.2%	1.1%	0.9%	1.7%	1.4%	1.5%	1.7%	47 bsp
Estée Lauder Cos Inc	11.7%	15.2%	16.9%	17.0%	18.3%	17.7%	19.4%	765 bsp
Jo Malone London	8.4%	11.0%	11.6%	12.1%	12.0%	11.1%	10.8%	244 bsp
Tom Ford	2.6%	3.6%	4.6%	4.5%	4.9%	4.2%	4.8%	217 bsp
Le Labo	0.0%	0.0%	0.0%	0.0%	1.0%	1.9%	3.5%	348 bsp
Kilian	0.3%	0.4%	0.5%	0.4%	0.4%	0.4%	0.2%	-10 bsp
Estée Lauder Pleasures	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	-7 bsp
Other Brands	0.3%	0.2%	0.1%	0.0%	0.0%	0.0%	0.0%	-28 bsp
LVMH Moët Hennessy Louis Vuitton SA	26.0%	24.8%	23.2%	20.5%	19.7%	21.1%	18.9%	-702 bsp
Christian Dior Miss Dior	13.7%	13.6%	13.2%	11.5%	11.2%	12.0%	11.0%	-268 bsp
Christian Dior J'adore	7.0%	6.0%	5.1%	4.5%	4.3%	4.7%	4.0%	-298 bsp
Christian Dior Dior Addict	2.3%	2.3%	2.2%	2.0%	1.9%	2.2%	2.0%	-23 bsp
Guerlain	1.1%	1.3%	1.2%	1.3%	1.2%	0.9%	0.9%	-16 bsp
Christian Dior Homme	0.6%	0.6%	0.6%	0.5%	0.5%	0.5%	0.5%	-14 bsp
Other Brands	1.4%	1.1%	0.9%	0.8%	0.6%	0.6%	0.5%	-83 bsp
Chanel SA	21.4%	19.7%	18.8%	18.6%	18.6%	16.5%	15.3%	-611 bsp
Chanel N°5	9.8%	9.8%	10.0%	10.1%	10.2%	9.0%	8.5%	-124 bsp
Chanel Chance	5.0%	4.4%	4.4%	4.1%	4.1%	3.7%	3.3%	-173 bsp
Chanel Chance Eau de Fraiche	4.3%	3.5%	2.7%	2.7%	2.7%	2.4%	2.0%	-237 bsp
Chanel Bleu de Chanel	1.4%	1.3%	1.2%	1.2%	1.1%	1.0%	1.1%	-34 bsp
Chanel Allure Homme	0.8%	0.7%	0.5%	0.5%	0.4%	0.4%	0.4%	-43 bsp
Coty Inc	14.4%	14.5%	12.7%	11.1%	10.5%	8.6%	6.8%	-760 bsp
Gucci	4.4%	5.7%	5.2%	4.5%	4.5%	4.0%	3.1%	-124 bsp
Chloé	1.0%	0.9%	0.8%	0.9%	0.9%	1.5%	1.5%	51 bsp
Burberry	1.1%	1.0%	0.8%	0.8%	0.8%	0.7%	0.6%	-51 bsp
Other Brands	8.0%	6.9%	5.8%	4.9%	4.3%	2.4%	1.6%	-636 bsp
Other MNCs	15.7%	13.4%	11.6%	11.6%	11.1%	12.3%	12.5%	-317 bsp
Total Prestige Fragrances Market	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	

Source: Euromonitor (Fragrances, China), Bernstein analysis

Category Mix

EL faces subcategory headwinds due to slower growth in Skincare and Makeup, segments where they hold the highest market share, and acceleration in Fragrance and Haircare, where their share is lowest. That said, share gains at the subcategory level, particularly in Fragrance, have more than made up for that headwind between 2019 and 2025, resulting in total gain shares at the portfolio level. This is also an encouraging sign for the turnaround story.

EXHIBIT 12: **EL Portfolio Performance by Category vs. Market**

	Prestige Market			EL		
	2019	2025	Δ 2019 - 2025	2019	2025	Δ 2019 - 2025
Skin Care	69.8%	68.8%	-102 bsp	16.7%	19.5%	278 bsp
Colour Cosmetics	24.0%	20.6%	-333 bsp	19.3%	18.8%	-49 bsp
Fragrances	5.1%	7.0%	186 bsp	11.7%	19.4%	765 bsp
Hair Care	1.1%	3.6%	249 bsp	0.0%	1.6%	163 bsp
Total	100.0%	100.0%	0 bsp	16.9%	18.7%	181 bsp

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

MEET THE CHINESE BRANDS**Prestige Brands****MGPIN (毛戈平)**

MGPIN, Mao Geping (毛戈平), is a color cosmetics and skincare brand founded in 2000 by Chinese makeup artist Mao Geping. Mao Geping has decades of experience styling over 40 Chinese film and television productions and also operates

the Mao Geping Image Design Art School. The school is viewed as an "internet celebrity makeup school" and has trained tens of thousands of professional makeup artists. Flagship SKUs of the brand include its powder pact and cushion foundation, considered the brand's core hero products, alongside MAOGEPING·LIGHT, a Sephora-exclusive sub-line launched in 2024 in partnership with Sephora China. MGPIN continues to be cited as a rising challenger in China's premium beauty segment.



Florasis (花西子)

Florasis, 花西子, is an "Oriental makeup" cosmetics brand founded in 2017. Florasis has elevated packaging design to what many consider the pinnacle of Eastern aesthetics. Products such as its intricately carved lipsticks and the *Hundred Birds Paying Homage to the Phoenix* embossed palette showcase traditional Chinese artistry and cultural heritage, creating highly distinctive visual appeal. The brand has also been an early adopter of livestream commerce, leveraging collaborations with leading influencer Austin Li (Li Jiaqi) to build brand awareness. In 2019, its carved lipstick became an instant hit after its debut in Li Jiaqi's livestream.



Winona (薇诺娜)

Winona, 薇诺娜, is China's first dermatological/cosmeceutical skincare brand focused on sensitive skin, founded in 2008. Its core focus is clinically validated, plant-active-ingredient formulations for sensitive skin. Key SKUs revolve around its

dermatological moisturizing and barrier-repair creams and serums.



Even among the local brands we classify as prestige, Chinese beauty brands remain meaningfully more affordable than their multinational peers, with prices typically 20-40% lower. For example, MGPI's color cosmetics generally carry suggested retail prices of RMB 200-500 (~US\$28-70), while its skincare products are typically priced at RMB 400-800 (~US\$55-110), with some premium skincare products and gift sets exceeding RMB 1,000 (~US\$140).

Many local brands continue to compete in the **mass market**, with selected examples highlighted below.

Mass / Masstige Brands

Proya (珀莱雅)

Mass-to-masstige skincare and beauty brand founded in 2003, with a science- and R&D-driven portfolio spanning skincare, high-efficacy dermocosmetics, makeup, body care, and hair care. It became the first Chinese beauty company to exceed US\$1 billion in sales in 2024, making it China's largest beauty company by revenue. Proya's brand name and product design appear more Western than traditionally Chinese, which initially attracted consumers seeking an international beauty brand experience at a more affordable price point.



KanS (韩束)

Founded in the early 2000s, Kans has increasingly focused on anti-aging since 2021. The brand delivered explosive growth on Douyin in 2023-24, leveraging short-form dramas and its livestreaming ecosystem to drive consumer engagement and conversion. By integrating its flagship Red Waist anti-aging line into highly viewed romance-themed short dramas and combining this with influencer livestreaming, Kans created a seamless "content-to-commerce" funnel. Notably, around 76% of users in its self-operated Douyin livestreams are under 35, a demographic that is increasingly focused on anti-aging while remaining value-conscious.



Comfy (可复美)

Founded in 2011, Comfy is a skin-repair brand built around recombinant collagen technology, targeting sensitive skin, acne-prone skin, and post-procedure recovery. The brand first built its reputation through medical dressings distributed via hospitals, aesthetic clinics, and pharmacies before expanding into skincare, successfully converting its medical credentials into a broader consumer beauty franchise.



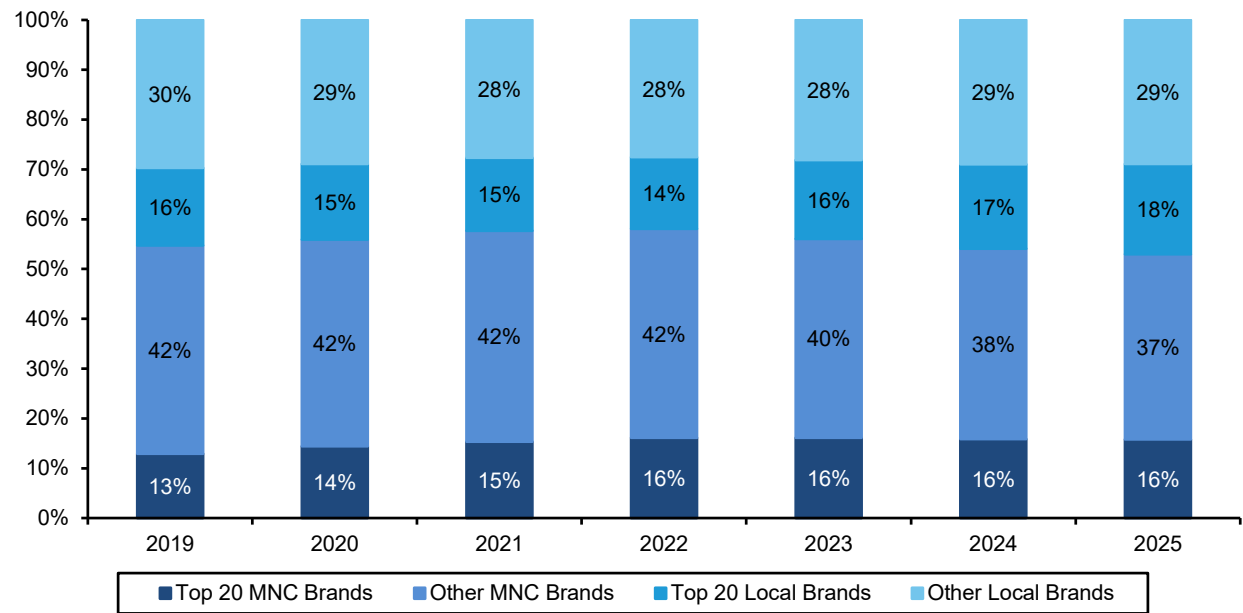
APPENDIX

EXHIBIT 13: List of Brands Classified as Prestige

1	2	3	4	5
1 Aesop	Christian Dior	Galénic	Lancôme Trésor	Schwarzkopf Igora Brilliance
2 Albion	Christian Dior Dior Addict	Giorgio Armani	Laneige	Schwarzkopf Professional
3 Anna Sui	Christian Dior Eau Sauvage	Giorgio Armani Acqua di Giò	Le Labo	Sekkisei
4 Armani Acqua di Gioia	Christian Dior Homme	Giorgio Armani Code for Women	L'Occitane	Shiseido
5 Artistry	Christian Dior J'adore	Givenchy	Lolita Lempicka	Shiseido Professional
6 Aveda	Christian Dior Miss Dior	Gucci	L'Oréal Professionnel	Shu Uemura
7 Avène	Clarins	Guerlain	Mac	Sisley
8 Beautrio	Clé de Peau Beauté	Helena Rubinstein	Maison Margiela	SK-II
9 Benefit	Clinique	Hermès	Make Up For Ever	SkinCeuticals
10 Bioderma	Clinique for Men	Hugo Boss	Maquillage	Sooryehan
11 Biotherm	Coach	Hugo Boss in Motion	Marc Jacobs Daisy	SU.M37
12 Biotherm Homme	Darphin	Hugo Boss Orange	Marc Jacobs Dot	Sulwhasoo
13 Bobbi Brown	Davidoff	IPSA	Marc Jacobs Honey	The History of Whoo
14 Burberry	Decorté	Issey Miyake	MGPIN	The Whoo
15 Burberry for Men	Diptyque	Jo Malone London	Michael Kors	Tom Ford
16 Burberry London Edt	DKNY	Jurlique	Nars	Tommy Hilfiger
17 Calvin Klein CK Free for Men	Dr Ci:Labo	Kanebo	Neostrata	Tous Touch
18 Calvin Klein CK IN2U Her	DR's Secret	Kenzo	Nina Ricci	Uriage
19 Calvin Klein Eternity for Men	Dunhill	Kérastase	Nu Skin	Versace
20 Calvin Klein Euphoria	Elie Saab Le Parfum	Kieh'l's	O HUI	Vichy
21 Calvin Klein Euphoria Blossom	Elixir	Kieh'l's for Men	Origins	Wella System Professional
22 Caudalie	Elizabeth Arden	Kilian	Physiogel	Winona
23 Chanel	Ermenegildo Zegna	La Mer	Pola	Yue-sai
24 Chanel Allure Homme	Estée Lauder	La Prairie	Prada	Yves Saint Laurent
25 Chanel Bleu de Chanel	Estée Lauder Pleasures	La Roche-Posay	Ralph Lauren Polo	
26 Chanel Chance	Estée Lauder Sensuous	Lacoste	Ralph Lauren Polo Sport	
27 Chanel Chance Eau de Fraiche	Fanci	Lancaster	René Furterer	
28 Chanel N°5	Filorga	Lancôme	Revital	
29 Charlotte Tilbury	Florasie	Lancôme Homme	Salvatore Ferragamo	
30 Chloé	Fresh	Lancôme Miracle	Salvatore Ferragamo Tuscan Soul	

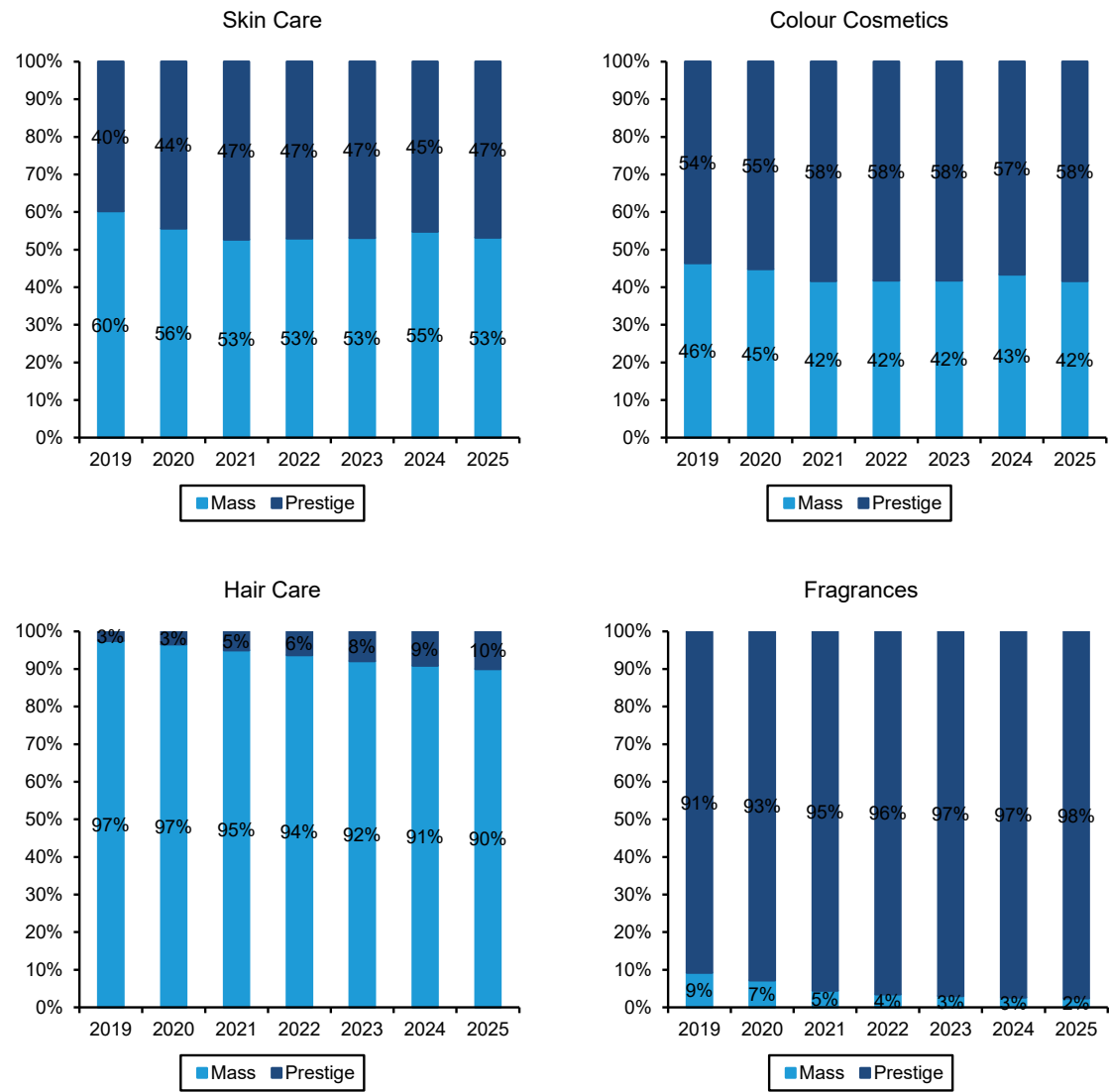
Source: Euromonitor, Bernstein analysis

EXHIBIT 14: **Top Brands Continue to Gain Share Across Both Local and MNC Players**

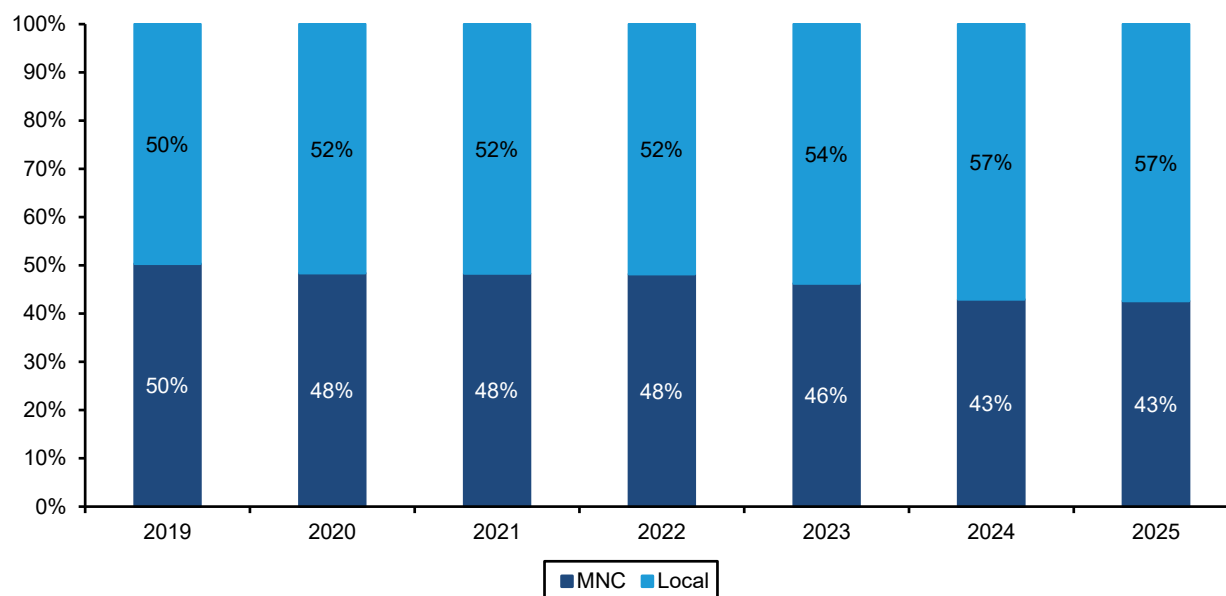


Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

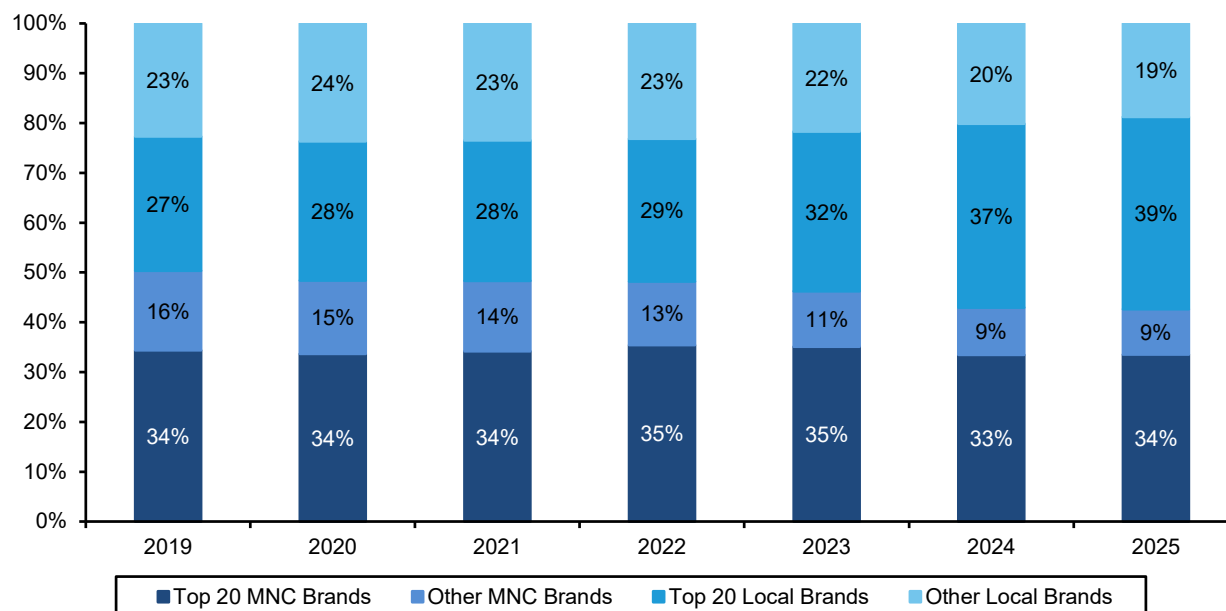
EXHIBIT 15: **Mass vs. Prestige Share by Category**



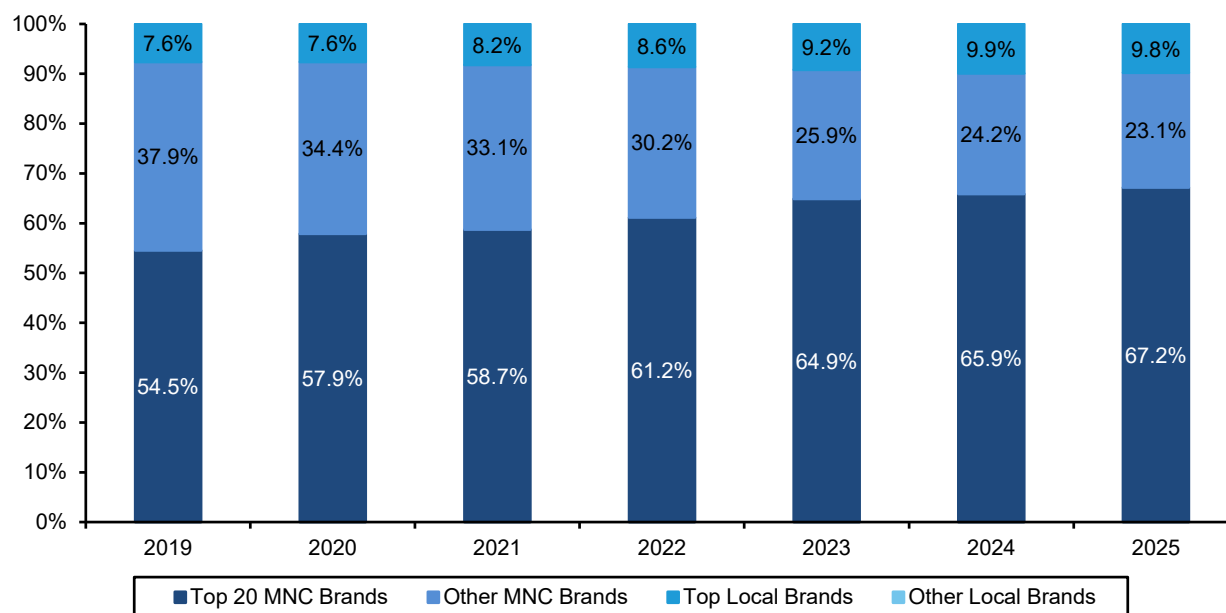
Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

EXHIBIT 16: **Mass-market segments remain more exposed to local competition**

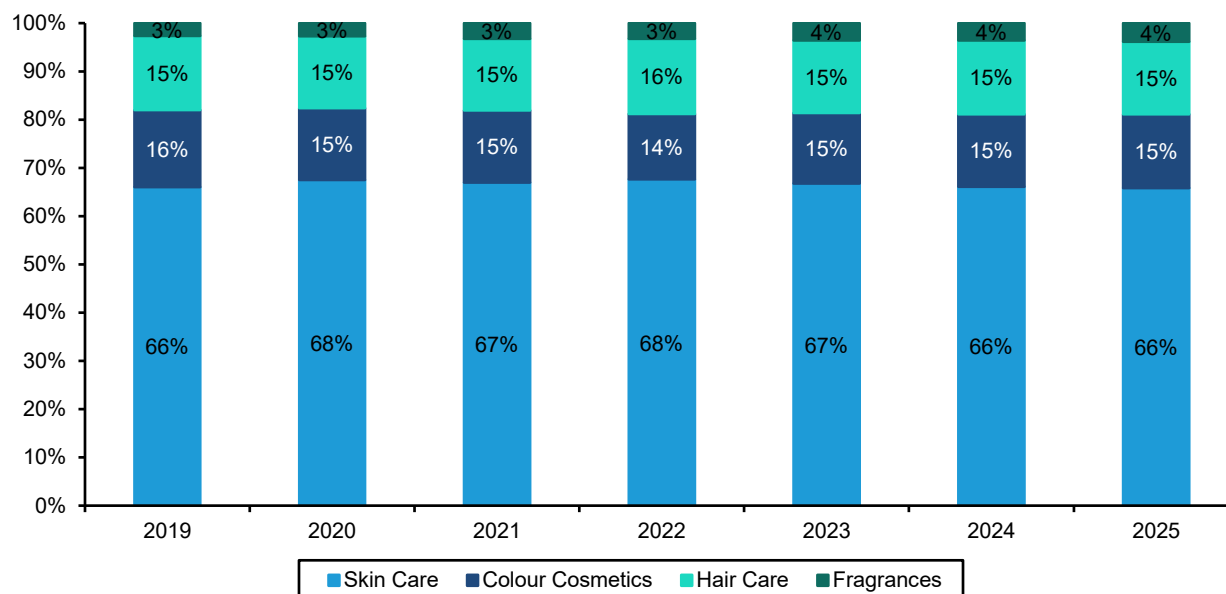
Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

EXHIBIT 17: **Leading local brands continue to take substantial share in mass market**

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

EXHIBIT 18: **Market Share Shifts to Leading Brands in Prestige Market**

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

EXHIBIT 19: **China Beauty Market Breakdown by Category - Total Category**

Source: Euromonitor (Skin Care, Colour Cosmetics, Hair Care and Fragrances in China), Bernstein analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	22 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
EL (Estee Lauder Cos Inc)	M	USD	82.63	82.00	(28.4)%	USD	1.52	2.42	3.13	54.4	34.2	26.4
PG (Procter & Gamble Co)	M	USD	149.13	156.00	(24.2)%	USD	6.83	6.86	7.12	21.8	21.7	20.9
SPX			7,408.30									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Estee Lauder Cos Inc**

We value Estee Lauder using EPS of \$3.43 (NTM+1) and a 24x P/E multiple (implying \$82), cross-checked against EV/EBIT on \$2,099 EBIT (NTM+1) at 18.2x (implying \$89) and a DCF with 13% WACC and 2.5% terminal growth (implying \$54), with valuation sensitivity primarily driven by EPS delivery versus expectations.

Procter & Gamble Co

We value P&G using EPS of \$7.25 (NTM+1) and a 21.6x P/E multiple (implying \$156), cross-checked against EV/EBIT on \$21,621 EBIT (NTM+1) at 19.4x (implying \$170) and a DCF with 8.3% WACC and 2% terminal growth (implying \$108), with valuation sensitivity primarily driven by EPS growth.

RISKS**Estee Lauder Cos Inc**

We see the following downside risks to our EL Price Target:

- Decreased consumer demand driven by economic pressure on consumers (e.g., inflation, unemployment)
- Loss of market share to other companies, including consumers trading-down to Private Label products
- Commodity costs and/or FX fluctuations
- Changes in Estee Lauder's stances towards M&A or the prioritization of cash in general

And we see the following upside risks to our EL Price Targets:

- "Lipstick effect": prestige beauty demand remains resilient even in weaker macro environments.
- China and travel retail normalize, driving multi-year growth and favorable mix.

Procter & Gamble Co

We see the following downside risks to our P&G Price Target:

- Decreased consumer demand driven by economic pressure on consumers (e.g., inflation, unemployment)
- Loss of market share to other companies, including consumers trading-down to Private Label products
- Commodity costs and/or FX fluctuations

- Changes in our covered companies' stances towards M&A or the prioritization of cash in general

And we see the following upside risks to our P&G Price Target:

- Cost savings and productivity programs drop more to the bottom line than expected.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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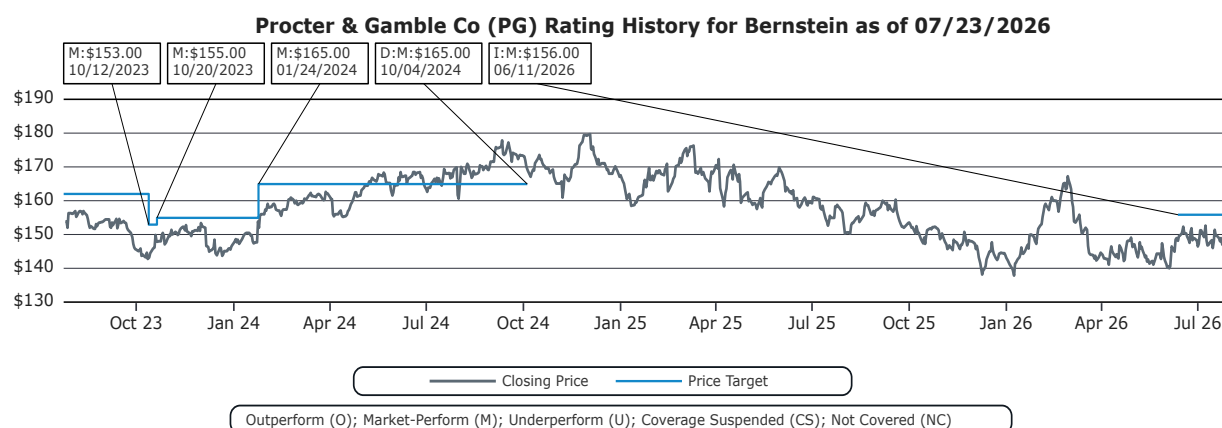
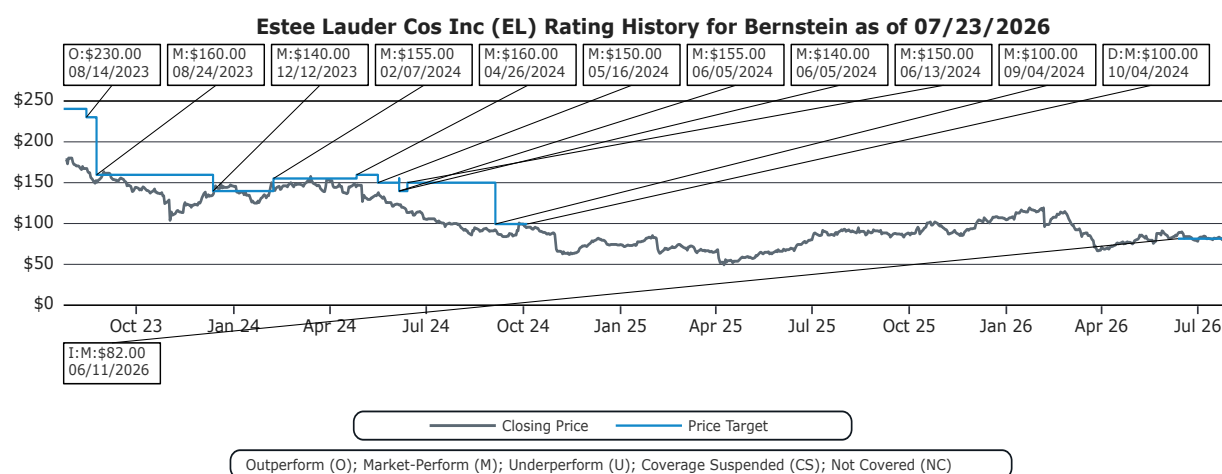
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Underperform	SELL	13.1%	13.6%

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